

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

COMMITTEE SUBSTITUTE
FOR ENGROSSED
HOUSE BILL 1823

By: Newton of the House

and

Jech of the Senate

COMMITTEE SUBSTITUTE

An Act relating to the Oklahoma Housing Finance Agency; defining terms; mandating the publication of certain information; requiring certain actions prior to changes to the administration of HOME funds; prohibiting the retroactive application of certain rules; directing the Oklahoma Housing Finance Agency to give preference for grant awards to certain entities; providing for preemption; providing for codification; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 2901.5 of Title 74, unless there is created a duplication in numbering, reads as follows:

A. As used in this section:

1. "HOME funds" means all federal HOME Investment Partnerships Program allocations and related program income made available to the state, including, pursuant to 24 C.F.R., Part 92.2, an agency or

1 instrumentality that is established pursuant to legislation and
2 designated by the Governor to act on behalf of the state. This
3 shall not include funds appropriated under Section 3205 of the
4 American Rescue Plan Act of 2021; and

5 2. "HOME Program" means the federal HOME Investment
6 Partnerships Program authorized under the HOME Investment
7 Partnerships Act, 42 U.S.C., Section 12701 et seq., and the
8 implementing regulations codified in 24 C.F.R., Part 92, as amended.

9 B. The Oklahoma Housing Finance Agency shall administer the
10 HOME Program in compliance with federal statutes and guidance by the
11 United States Department of Housing and Urban Development (HUD). If
12 the Agency proposes requirements, conditions, or restrictions on
13 HOME funds that are stricter than those required by federal HOME
14 statute or 24 C.F.R., Part 92, the Agency shall electronically
15 publish data or other information publicly that explains such
16 changes.

17 C. The Agency shall electronically publish notice on its
18 website of any changes to HOME Program eligibility, standards,
19 written agreements, or requirements at least thirty (30) days prior
20 to the implementation of such changes, unless in the event of an
21 emergency. Such notice shall explain all changes to previous
22 policies. No rule, policy, manual, guidance, administrative
23 procedure, or other directive relating to the Agency's
24 administration of HOME funds shall become effective without:

1 1. Electronic publication in "The Oklahoma Register";

2 2. A minimum public comment period of not less than thirty (30)
3 days; and

4 3. Consideration of all timely filed comments.

5 Following the direction of HUD, the Agency may provide for a
6 shorter public comment period when necessary to act expeditiously.

7 D. The Agency shall not retroactively apply any program rule
8 changes to HOME awards, contracts, agreements, or commitments
9 already awarded or executed except to the extent expressly required
10 by changes in federal HOME statutes or federal regulations. Nothing
11 in this section shall be construed to prevent the Agency and HOME
12 Program participants from mutually agreeing to amend written
13 agreements, restrictive covenants, or similar instruments to adopt
14 updated program options, provisions, or requirements.

15 E. The Agency shall give preference to grant awards to
16 nonprofit organizations that build, acquire, or rehabilitate
17 property for rent or homeownership. The Agency may exercise
18 discretion to reserve more than the HUD-required minimum fifteen
19 percent (15%) set aside of any allocation of HOME funds for projects
20 owned, sponsored, or developed by nonprofit community housing
21 development organizations (CHDOs). CHDOs are guaranteed retention
22 of program proceeds. Eligible nonprofit entities participating in
23 the HOME Program shall not be restricted from using third-party
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1 guarantors, loan guaranty arrangements, or other legally recognized
2 risk-sharing mechanisms permitted under federal HOME regulations.

3 F. In the event of any conflict between this section and
4 another provision of state law, this section shall control with
5 respect to the Agency's administration of the federal HOME Program
6 to the extent permitted by federal law. The Agency's obligations
7 under this section are subject to compliance with, and shall be
8 interpreted consistently with, federal HOME statutes and HUD
9 requirements.

10 SECTION 2. This act shall become effective November 1, 2026.

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